BCBEA
DBADD
EABBC
BEADB
DEEAD
B

2.1 demand

1. Assume that consumers consider popcorn and pretzels to be substitutes. A significant decrease in the supply of popcorn will affect the pretzel market by

(A) increasing the demand for pretzels and therefore the supply of pretzels

(B) increasing the demand for pretzels and therefore the price of pretzels ✓

(C) decreasing the demand for pretzels and therefore the price of pretzels

(D) increasing the supply of pretzels and therefore the price of pretzels

(E) decreasing the supply of pretzels and therefore the price of pretzels

2. Suppose hot dogs and hamburgers are substitutes in consumption. If the supply of hot dogs decreases, which of the following will happen in the market for hamburgers?

(A) The supply curve for hamburgers will shift to the right.

(B) The supply curve for hamburgers will shift to the left.

(C) The demand curve for hamburgers will shift to the right. ✓

(D) The demand curve for hamburgers will shift to the left.

(E) Both the demand curve and supply curve for hamburgers will shift to the left.

Answer C

Correct. A decrease in the supply of hot dogs increases the price of hot dogs which increases the demand for hamburgers, a substitute in consumption for hotdogs. Therefore, the demand curve for hamburgers shifts to the right.

3. Which of the following will decrease the demand for beef?

(A) An increase in the price of pork, if pork and beef are substitute goods

(B) An increase in the price of potatoes, if potatoes and beef are complementary goods ✓

(C) A decrease in the cost of transporting beef to consumers

(D) An increase in the income levels of most consumers, if beef is a normal good

(E) Research showing beef is better for your health than chicken

4. According to the law of demand, which of the following occurs when the price of a good increases?

(A) The demand for the good decreases.

(B) The quantity demanded of a substitute good decreases.

(C) The quantity demanded of a complementary good increases.

(D) The quantity demanded of the good increases.

(E) The quantity demanded of the good decreases. ✓

2.1 demand

Answer E

Correct. According to the law of demand, when the price of a good increases, the quantity demanded of the good decreases, shown by an upward movement along the demand curve.

5. All of the following cause a rightward shift in the demand schedule for a normal good EXCEPT

(A) a decrease in the price of the good ✓

(B) a decrease in the price of a complementary good

(C) an increase in the price of a substitute good

(D) an increase in consumers' income

(E) an increase in consumers' preference for the good

6. Assume that people like onions on their hamburgers. If the supply of hamburgers decreases, the demand for onions will most likely

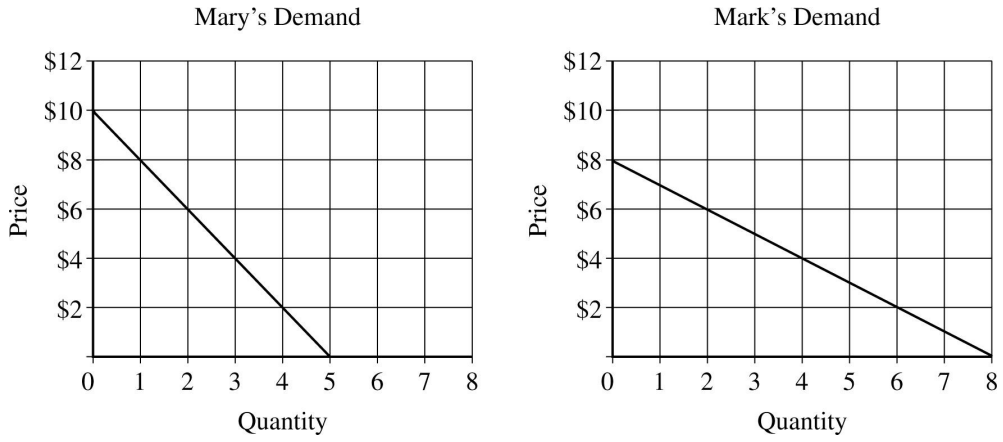
(A) remain unchanged because hamburgers and onions are different goods

(B) increase because hamburgers and onions are substitutes

(C) increase because hamburgers and onions are complements

(D) decrease because hamburgers and onions are complements ✓

(E) decrease because hamburgers and onions are substitutes



The graphs above show Mary's demand for hamburgers and Mark's demand for hamburgers. Suppose Mary and Mark are the only two consumers in the market.

7. Which of the following is a point on the market demand curve for hamburgers?

2.1 demand

(A)

Price	Quantity
$2	12

(B) ✓

Price	Quantity
$4	7

(C)

Price	Quantity
$6	6

(D)

Price	Quantity
$8	4

(E)

Price	Quantity
$10	8

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8. For an inferior good, an increase in consumer income will cause

(A) the demand curve to shift to the left ✓

(B) the demand curve to shift to the right

(C) the short-run supply curve to shift to the right

(D) the long-run supply curve to shift to the right

(E) new firms to enter the market in the long run

2.1 demand

9. The demand curve for a normal good slopes down for which of the following reasons?

I. An increase in the price of the good induces consumers to purchase substitute products.

II. An increase in the price of the goods reduces consumers' purchasing power.

III. An increase in the price of the good increases consumers' utility from consuming that good.

(A) I only
(B) II only
(C) III only
(D) I and II only ✓
(E) I and III only

10. According to the law of demand, an increase in the price of grape juice will result in

(A) a rightward shift in the demand curve for grape juice
(B) a leftward shift in the demand curve for grape juice
(C) a decrease in the demand for orange juice, a substitute
(D) a decrease in the quantity of grape juice demanded ✓
(E) an increase in the quantity of grape juice supplied

11. A decrease in the demand for antique lanterns, a normal good, would be caused by which of the following?

(A) An increase in consumers' incomes
(B) An increase in the price of antique lanterns
(C) An increase in the expected price of antique lanterns in the future
(D) An increase in the price of electric lanterns, a substitute good
(E) An increase in the price of lamp oil, a complementary good ✓

Answer E

Correct. An increase in the price of a complement in consumption (lamp oil) will decrease demand for antique lanterns.

12. Assume that good X is a normal good. Which of the following helps to explain why a decrease in the price of good X increases the quantity demanded of good X?

2.1 demand

(A) Good X becomes relatively less expensive than its substitutes, so consumers buy more of good X and fewer of the substitutes ✓

(B) The marginal utility of consuming good X increases as more of good X is consumed.

(C) The lower price of good X decreases the marginal utility per dollar; therefore, consumers buy more of good X.

(D) The demand curve for good X shifts to the left.

(E) The supply curve for good X shifts to the right.

13. Assume that ice cream is a normal good. If the price of ice cream decreases, the substitution effect and the income effect will lead to which of the following changes in ice cream consumption?

(A)

Substitution Effect	Income Effect
Increase	Decrease

(B) ✓

Substitution Effect	Income Effect
Increase	Increase

(C)

Substitution Effect	Income Effect
Increase	No change

(D)

Substitution Effect	Income Effect
Decrease	Increase

(E)

Substitution Effect	Income Effect
Decrease	No change

Carmen consumes both entertainment and medical care. For Carmen, entertainment is a normal good, and the income elasticity of her demand for medical care is zero.

2.1 demand

14. If Carmen's income increases, which of the following will be the immediate impact on her consumption?

Entertainment: Increase; Medical care: Increase

(A)

Entertainment	Medical care
Increase	Increase

(B) ✓

Entertainment	Medical care
Increase	No change

(C)

Entertainment	Medical care
No change	Increase

(D)

Entertainment	Medical care
Increase	Decrease

(E)

Entertainment	Medical care
Decrease	Increase

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15. Which of the following situations best illustrates the law of demand?

2.1 demand

(A) As real incomes of United States citizens have decreased over the past year, the demand for housing has also decreased.

(B) Recent decreases in the price of imported wine have led to an increase in the consumption of domestic wine.

(C) In the past several months, as the price of compact disc players has decreased, the quantity of compact disc players sold has increased ✓

(D) The increase in the price of quality health foods has increased the revenues of firms producing these goods.

(E) As the demand for computers has increased, the number of workers in the computer industry has increased.

16. Which of the following will cause the demand for a normal good to increase?

(A) A decrease in consumers' income

(B) A decrease in the price of a complementary good ✓

(C) A decrease in the price of a substitute good

(D) A decrease in the price of the good

(E) A decrease in the number of consumers

Answer B

Correct. A decrease in the price of a complementary good will lead to an increase in demand for the normal good. When goods are complements of each other, this means that the goods are often used together, and therefore consumption of one good tends to enhance consumption of the other.

17. If the increase in the price of one good decreases the demand for another, then the two goods are

(A) inferior goods

(B) luxury goods

(C) normal goods

(D) substitute goods

(E) complementary goods ✓

18. For a normal good, the income effect of a price change refers to the change in the consumption of the good that occurs because of the change in

2.1 demand

(A) consumers' purchasing power ✓

(B) the demand for a substitute good

(C) the supply of the good

(D) relative price

(E) marginal utility

19. If bologna is an inferior good, which of the following must be true?

(A) The demand curve for bologna is vertical.

(B) The demand curve for bologna is horizontal.

(C) An increase in the price of bologna will decrease the supply of bologna.

(D) An increase in consumer income will decrease the demand of bologna. ✓

(E) A decrease in consumer income will decrease the supply of bologna.

20. If the demand for good Y increases as the price of good X decreases, it can be concluded that

(A) X and Y are substitute goods

(B) X and Y are complementary goods ✓

(C) X is an inferior good and Y is a superior good

(D) X is a superior good and Y is an inferior good

(E) both X and Y are inferior goods

21. If the demand for potatoes increases whenever a person's income increases, then potatoes are an example of

(A) an inferior good

(B) a free good

(C) a Giffen good

(D) a normal good ✓

(E) a public good

22. The income and substitution effects explain which of the following?

(A) Decreasing marginal productivity of labor

(B) Market power caused by barriers to entry

(C) Increasing marginal cost of production

(D) Increasing returns to scale

(E) The downward slope of the market demand curve ✓

2.1 demand

Answer E

Correct. The downward slope of the market demand curve indicates that the lower the price of a product, all else equal, the higher the quantity demanded. When the price of a good decreases, the substitution effect incentivizes a consumer to buy more of the good and less of its substitute; furthermore, as the price of a good decreases, consumers' real income increases, incentivizing the consumer to buy more of the good. The income and substitution effects, therefore, explain the change in the quantity demanded as the price of a good changes.

23. Which of the following correctly describes the income effect associated with the law of demand?

(A) If consumer income increases, there will be an upward movement along the demand curve for a normal good.

(B) If consumer income increases, the demand curve will shift to the right for an inferior good.

(C) If the price of a good increases, the demand for the good decreases because the demand for its substitute in consumption increases.

(D) If the price of a good decreases, the demand for the good increases because the lower price increases the demand for its complement in consumption.

(E) If the price of a normal good decreases, the purchasing power of a consumer's income increases and therefore consumers will be willing and able to purchase more of the good. ✓

24. Which of the following helps explain why the demand curve for a normal good is downward sloping?

(A) The income and substitution effects move the quantity demanded in the same direction. ✓

(B) The income effect moves the quantity demanded in the opposite direction of the substitution effect.

(C) The income effect dominates the substitution effect.

(D) The substitution effect dominates the income effect.

(E) With an increase in income, the consumer decreases consumption of the good.

25. Which of the following will increase the demand for pizza, a normal good?

(A) An increase in the cost of producing pizza

(B) A decrease in the price of pizza

(C) An increase in the price of a complementary product

(D) An increase in consumers' income ✓

(E) An increase in the number of restaurants selling pizza

26. Which of the following will cause the demand curve for good X to shift to the right?

2.1 demand

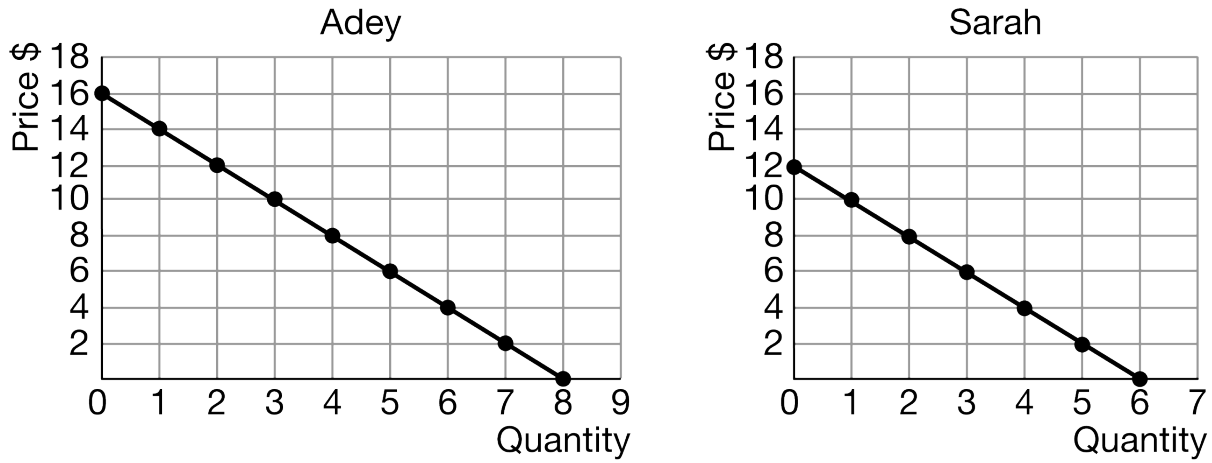
(A) An increase in the price of good Z, a complement to good X

(B) An increase in the price of good Y, a substitute for good X ✓

(C) An increase in the consumer's income, if good X is an inferior good

(D) A decrease in the price of good X

(E) An increase in the supply of good X



The graphs above show the individual demand curves for the only two consumers, Adey and Sarah, in the market for popcorn.

27. As the price of popcorn decreases from $12 to $6, how does the quantity demanded change along the market demand curve?

(A) It increases from 2 to 4 units.

(B) It increases from 2 to 5 units.

(C) It increases from 2 to 8 units. ✓

(D) It increases from 0 to 14 units.

(E) It increases from 8 to 14 units.

Answer C

Correct. At $12, Adey buys 2 units and Sarah buys 0 units for a total quantity of 2 units in the market. At $6, Adey buys 5 units and Sarah buys 3 units for a total market quantity of 8 units. Thus, when the price decreases from $12 to $6, the quantity demanded along the market demand curve increases from 2 to 8 units.

2.1 demand

28. Which of the following best describes the law of demand?

(A) When income increases, the demand for goods increases.
(B) When the price of a good decreases, the demand for the good increases.
(C) When the price of a good decreases, the quantity demanded of the good decreases.
(D) When the price of a good increases, the quantity demanded of the good decreases. ✓
(E) When the demand for a good increases, consumers' willingness and ability to buy the good increases.

Answer D

Correct. The law of demand describes the negative relationship between the price and quantity demanded. When the price of a good increases, there will be an upward movement along the demand curve for the good, resulting in a decrease in the quantity demanded of the good.

29. A change in which of the following causes a movement along a given demand curve for a normal good?

(A) Consumer income
(B) The demand for the good
(C) The price of the good ✓
(D) The price of a substitute good in consumption
(E) The number of buyers

Answer C

Correct. A change in the price of the good (an increase or a decrease), all other things remaining constant, causes a movement along a given demand curve for the good as described by the law of demand. An increase in price causes an upward movement resulting in a decrease in quantity demanded, and a decrease in price causes a downward movement along the demand curve, resulting in an increase in quantity demanded.

30. Which of the following best describes the law of demand?

2.1 demand

(A) The price of a good increases when the demand for the good increases.
(B) The price of a good decreases when the supply of the good decreases.
(C) When the price of a good increases, its demand decreases.
(D) When the price of a good decreases, its quantity demanded increases. ✓
(E) Demand creates its own supply.

31. Which of the following explains why a decrease in the price of a normal good will lead to an increase in the quantity demanded of the good?

(A) A lower price will increase consumers' purchasing power. ✓
(B) A lower price will increase consumers' marginal utility.
(C) A lower price will increase demand for the good.
(D) A lower price will increase demand for substitute goods.
(E) A lower price will decrease demand for complementary goods.

32. One reason consumers typically increase the quantity of a good they purchase when the price of the good decreases is that

(A) the marginal utility of the good increases
(B) consumers' purchasing power increases ✓
(C) consumers increase their purchases of substitute items
(D) consumers increase their purchases of complementary items
(E) the demand for the good increases

33. Which of the following events will cause the demand curve for hamburgers to shift to the right?

(A) An increase in the price of pizza, a substitute for hamburgers ✓
(B) An increase in the price of a french fries, a complement to hamburgers
(C) An increase in the price of hamburgers
(D) A decrease in the price of hamburgers
(E) A decrease in the cost of producing hamburgers

34. Which of the following will most likely happen in the market for good X if the price of good X decreases?

(A) The supply of good X will decrease.
(B) The demand for good X will increase.
(C) The quantity demanded for good X will increase. ✓
(D) The demand will decrease and the supply will increase.
(E) The quantity supplied for good X will increase.

2.1 demand

35. An increase in the supply of good X resulted in an increase in the price and quantity of good Y. It can be concluded that good Y is

(A) an inferior good
(B) a luxury good
(C) a normal good
(D) a substitute for good X
(E) a complement for good X ✓

Answer E

Correct. Goods are complements of one another if a decrease in the price of one good leads to an increase in demand for the other good. An increase in the supply of good X will cause the price of good X to decrease. The result of this change is an increase in the price and quantity of good Y, which would be caused by an increase in the demand for good Y. Therefore, goods X and Y are complements.

36. An increase in the price of good X causes buyers to want to buy more of good Y. Which of the following explains the resulting change in the market?

(A) The demand curve for good X will shift to the right because the goods are substitutes in consumption.
(B) The demand curve for good Y will shift to the right because the goods are substitutes in consumption. ✓
(C) The demand curve for good X will shift to the left because the goods are complements in consumption.
(D) The demand curve for good Y will shift to the left because the goods are complements in consumption.
(E) There will be a downward movement along the demand curve for good X because the goods are complements in consumption.

Answer B

Correct. The goods are substitutes in consumption because an increase in the price of good X causes buyers to want to buy more of good Y. An increase in the price of good X results in an increase in demand for the substitute good Y, which is represented by a rightward shift of the demand curve for good Y.

37. Which of the following is true of the substitution effect of an increase in the price of a normal good?

2.1 demand

(A) It works to offset the income effect.

(B) It works to reinforce the income effect. ✓

(C) It is less than the income effect.

(D) It causes an increase in the quantity demanded of the good.

(E) It causes an increase in the demand for the good.

38. Assume that good X is a normal good. If the price of good X increases, what will happen?

(A) The substitution and income effects will both lead to more of good X being purchased.

(B) The substitution and income effects will both lead to less of good X being purchased. ✓

(C) The substitution effect will lead to more of good X being purchased, while the income effect will lead to less of good X being purchased.

(D) The substitution effect will lead to less of good X being purchased, while the income effect will lead to more of good X being purchased.

(E) There will be no income effect because only the price of good X has changed.

Answer B

Correct. When the price of a good changes, there is both a substitution effect and an income effect. For a normal good, both the substitution effect and the income effect will lead to less of good X being purchased. The substitution effect refers to the consumer's incentive to substitute higher priced goods with lower priced goods, resulting in a decrease in quantity demanded caused by the increase in the price of a normal good. The income effect refers to the decrease in a consumer's purchasing power caused by an increase in the price of a normal good.

39. Which of the following occurs as a result of the substitution effect of an increase in the price of a normal good?

(A) The demand for the good decreases.

(B) The demand for the complementary good increases.

(C) The demand for the good becomes more elastic.

(D) The quantity demanded of the substitute good decreases.

(E) The quantity demanded of the good decreases. ✓

Answer E

Correct. The substitution effect is one of the factors that explains why the demand curve slopes downward. It explains a movement down along the demand curve for a normal good when the price of

2.1 demand

the good increases. When the price of a normal good increases, buyers will substitute the higher-priced good for a lesser-priced substitute, and therefore buyers will decrease the quantity demanded of the good whose price has increased.

The table below lists the monthly individual demand schedules for text messages for the only three buyers in the market: Allison, Bill, and Chang.

Price per Text Message	Text Messages Demanded by		
	Allison	Bill	Chang
4¢	500	400	360
8¢	350	300	280
12¢	200	200	200
16¢	50	100	120
20¢	0	0	40

40. Which of the following combinations of price and quantity lies on the market demand curve?

2.1 demand

(A)

Price	Quantity
4¢	1,000

(B)

Price	Quantity
8¢	350

(C)

Price	Quantity
12¢	200

(D) ✓

Price	Quantity
16¢	270

(E)

Price	Quantity
20¢	0